THE JAPANESE CHAMBER OF COMMERCE & INDUSTRY

Hiệp Hội Doanh Nghiệp Nhật Bản tại Việt Nam
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THE JAPANESE CHAMBER OF COMMERCE AND INDUSTRY IN VIETNAM

SOCIALIST REPUBLIC OF VIETNAM
Independence – Freedom - Happiness

No. 11/2019JCCI

Re: Documents required by licensing authorities

Hanoi, Oct 10th 2018

To: Ministry of Planning and Investment
Attn: Mr. Nguyen Chi Dung - Minister
Mr. Tran Hao Hung - Manager of Legal Department

Dear Sir,

First of all, we, the Japanese Chamber of Commerce and Industry in Vietnam ("JCCI") would like to send you our best greetings and sincere thanks for your support in the past. By this letter, we would like to seek your guidance and confirmation on the following matters.

1. Prohibition of licensing authorities from requiring documents that are not explicitly required by laws

In the light of the Law on Enterprises ("LOE"), Law on Investment ("LOI"), Decree 78/2015/ND-CP implementing the LOE, as amended by Decree 108/2018/ND-CP ("Decree 78, as amended"), and Decree 118/2015/ND-CP implementing the LOI ("Decree 118"), we understand that the licensing authorities in charge of business registration and investment registration (e.g. officers of the provincial Departments of Planning and Investment, officers of the Management Boards of industrial zones) are prohibited from requiring any documents other than those required by legal regulations (i.e. LOI, LOE, and relevant decrees and circulars). In particular:

Regarding the business registration procedures, Article 9.2 of Decree 78, as amended provides:
"The Business Registration Office is not permitted to request the person establishing the enterprise or the enterprise itself to lodge any additional file or documents other than those required by regulations in the application dossier for enterprise registration."
Regarding the investment registration procedures, Article 6.2 of Decree 118 provides:
"The Investment Registration Authorities must not request an investor to lodge any additional documents apart from those prescribed for an investment registration file by the Law on Investment and this Decree [118/2015/ND/CP]".

In practice, the licensing authorities often ask Japanese investors to submit additional documents. For example, we attach hereto a list of documents frequently requested by the licensing authorities. We believe that there are no legal grounds for such requirements and that the investors are entitled to refuse to provide those documents. Please confirm this and provide us with guidance how to respond to such unreasonable requirements from the licensing authorities.

2. Documents regarding acquisition of shares/capital contribution

a. Document certifying the completion of a share/capital contribution transfer and share purchase agreement

According to Decree 78[1], in cases where shares of a joint stock company or capital contribution of a limited liability company is transferred from its shareholders/members to a buyer, the application dossier to register the change of shareholders/members of the company or the change of their shareholding/percentage of capital contribution must comprise, among others:

(i) a share/capital contribution transfer agreement (collectively, "SPA"); or
(ii) documents evidencing completion of the transaction.

On the face of it, we understand that the target company, at its own discretion, may choose either document (i) or (ii) as the document to submit. If the target company submits a SPA, it does not need to submit other documents evidencing completion of the transaction, and vice versa. Please confirm this understanding and guide us on how to respond to licensing authorities if they require both (i) and (ii).

b. Content of the document certifying the completion of a transfer of shares/capital contribution

Without a detailed explanation on document (ii) "documents evidencing completion of the transaction", we believe that the content of such documents has to merely constitute proof that the ownership over the shares/capital contribution has been transferred from the seller to the buyer.

However, in practice, the licensing authorities are seldom satisfied with a single SPA, or a certificate of completion of the transaction signed by the buyer and the seller. They often ask for supplemental documents evidencing the completion of payment (e.g. banking remittance slip). In fact, subject to the parties' agreement in the SPA, the purchase price may be paid in several installments. The last payment is often made after the buyer is officially recorded to be a shareholder/member of the company (i.e. issuance of an amended Investment Registration Certificate, amended Enterprise Registration Certificate or record of the name of new shareholder in the national database of business registration). In such case, it is impossible for the parties to provide documents to confirm completion of the payment. The LOE, however, does not require full

[1] *Articles 25, 26, 45, 46, 51, and 52 of Decree 78.*

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payment of the purchase price to be made before the transfer of the ownership over the shares/capital contribution, and Civil Code Article 161.1 provides that ownership and other rights over assets can be transferred pursuant to an agreement by the parties. Such de facto requirement substantially prolongs the procedures to record the changes in the relevant contents of the investment registration and business registration. Moreover, it may cause future disputes and cause foreign investors to query the validity of legal regulations of Vietnam.

Therefore, we would like to request that the MPI give comprehensive guidance on these issues. In particular, please confirm that the licensing officers may not request—in addition to the SPA or a certificate of completion of the transaction signed by the buyer and the seller — documents evidencing the payment of the purchase price.

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Your answers to address the above-mentioned matters would be highly appreciated. We would be grateful if, upon receipt of your answers, we be permitted by you to share them with our Japanese investors in order for them to better understand and comply with the Vietnamese laws.

We look forward to hearing from you soon.

Yours sincerely,

Recipients:
- As above;
- Embassy of Japan in Vietnam;
- The Japanese Chamber of Commerce and Industry in Ho Chi Minh City;
- The Japanese Chamber of Commerce and Industry in Danang;
- Save JCCI Office.

THE JAPANESE CHAMBER OF COMMERCE AND INDUSTRY IN VIETNAM
Chairman

Nobufumi MIURA

THE JAPANESE CHAMBER OF COMMERCE & INDUSTRY

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Documents required by licensing authorities without legal basis

Abbreviations:

DPI: Department of Planning and Investment;
ERC: Enterprise Registration Certificate;
IRC: Investment Registration Certificate;
SPA: Shares Purchase Agreement;

Dossiers	Additional required documents
1. Notification of change of the owner's authorized representative in a single member limited liability company	1. Certified copy of the passport of the owner's authorized representative.
2. Application for IRC issuance	1. Resolutions of the investor on the establishment of subsidiary, contribution or acquisition of shares/ capital contribution; 2. Documents of the landlord regarding land lot and the building where the company/ project is located (e.g. construction permit, certificate of land use rights and assets attached to the land, certification of satisfaction of conditions of fire prevention and fighting, landlord's IRC and ERC); 3. Investor's charter even when the investor has already filed its Incorporation Certificate.
3. Application for registration of capital contribution/shares acquisitions	1. Investor's resolutions to approve its plan to acquire capital contribution/shares in the target company; 2. Certified copy of the passport of the investor's legal representative (or authorized signatory) to prove his/her capacity to sign the application documents; 3. ERC and/or IRC of the target company; and 4. Audited financial report of the target company to prove that it is in good operation conditions.

4. Applications for change in company owner, members or notification of change in founding shareholders/foreign shareholders.	1. In addition to the Agreement of Capital Transfer/SPA, it is required to submit a document evidencing that the purchase price has been paid and the transaction has been completed (e.g. bank remittance slip, letter of confirmation issued by the seller and even the target company).
5. Registration of change of member(s) in a limited liability company with two members or more resulted from capital contribution transfer	1. Minutes of meeting and resolutions of the Members' Council of target company regarding the transfer of capital contribution; 2. Buyer's resolutions to approve the acquisition of capital contribution and to appoint its authorized representative(s) in the target company; 3. Seller's resolutions to approve the transfer of capital contribution; 4. List of authorized representatives of all members in the target company; 5. Certified copy of the Buyer's certificate of incorporation; 6. Written waiver of pre-emptive rights from the members of the company (other than the Seller)
6. Application for IRC amendment	According to Article 46.4 of Decree 118/2015/ND-CP, the target company is not required to obtain a new IRC or amend its existing IRC upon the capital contribution/shares acquisition. However, officers of certain provincial DPI still require the target companies to obtain a new IRC or to amend its existing IRC. In addition to documents for IRC amendment required by the LOI, the DPI officers often require the following documents: 1. Seller's resolutions to approval the transfer of capital contribution/shares and IRC amendment; 2. Minutes of meeting and resolutions of the target company's General Shareholders Meeting or the Members' Council to approve the capital contribution/shares transfer; 3. IRC and ERC of the target company;

	4. SPA and a letter issued by the seller to confirm that the investor has fulfilled its payment obligations; 5. Documents evidencing the investor's financial capacity (e.g., comfort letter issued by the bank where the investor opens its account); 6. Explanation on project amendment other than that required by Article 33.2(d) of Decree 118/2015/ND-CP; 7. Financial statements of the target company; 8. Agreement on the project transfer (in the case the investor acquires 100% capital contribution in the target company that has already been a 100% foreign invested company).